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UK Tax Report

07 May 2026

Report for Stuart Hilditch and Danielle Cullen outlining the UK tax treatment of the Ellell Trust and the GHS Hilditch Trust and advising on the UK tax implications of Stuart and Danielle becoming UK residents

Contents

Background and Overview

We have been engaged by Danielle Cullen ("Danielle") and George Henry Stuart Hilditch ("Stuart") as trustees of The Ellell Trust ("Ellell") and The GHS Hilditch Trust ("GHS"), respectively, collectively referred to as "the trusts", to advise on the following:

- The current residence status of the trusts and changes required to prevent the trusts from becoming UK resident; and

- How UK resident beneficiaries will be subject to UK income tax and UK capital gains tax ("CGT") on the trusts underlying income and gains; and

- The UK tax implications of UK resident beneficiaries receiving trust distributions whilst considering the 4-year foreign income and gains ("FIG") regime.

Both Danielle and Stuart are currently Australian residents and are not yet UK residents. Neither Danielle nor Stuart were considered UK domiciled when the trusts were created on 10 November 2010.

Neither Danielle nor Stuart have been UK resident at any point in the previous 10 UK tax years. Danielle last resided in the UK 22 years ago and Stuart last resided in the UK 40 years ago.

Both Danielle and Stuart plan to become UK residents from 11 May 2026 but do not intend to stay in the UK for more than four tax years.

The trusts both hold business interests which were settled into the trusts by Danielle and Stuart. Appendix 1 shows the current trust and underlying company structure.

Danielle settled her business interests into Ellell whilst Stuart settled his business interests into GSH. The business interests held by the trusts are operating companies with activities and management that span Australia, Canada and the USA.

The Trusts

Both trusts were created on 10 November 2010 with identical terms, under the law of Queensland (Australia).

Danielle is the current sole trustee of Ellell whilst Stuart is the current sole trustee of GHS. They have been sole trustees of the respective trust since creation and have been non-UK resident the entire time.

Danielle and Stuart are primary beneficiaries of both trusts with the secondary beneficiaries including any person who is, becomes, or has been their spouse, a wide range of family members and any executor or trustee of a deceased beneficiary. The range of tertiary beneficiaries are very broad.

Both trust documents show Daniel John Hillier as the settlor with an initial amount of $10 AUD. We have assumed that the trusts were settled on behalf of Danielle and Stuart on the basis the original settlement was purely to create a vehicle for Danielle and Stuart to subsequently settle capital into, even though not named in the deed as settlors

After the original creation, Danielle and Stuart each settled a 50% shareholding in Australian Institute of Food Safety Pty Ltd ("AIFS") and a 50% shareholding in Moncel Australia (RTO) PTY Ltd ("Moncel") into Ellell and GHS, respectively.

AIFS and Moncel are both incorporated under Australian tax law. AIFS issues dividends to both trusts whilst Moncel is a non-commercial compliance entity that does not pay any dividends. Userve Inc (“Userve”) and Canadian Institute of Food Safety Limited (“CIFS”) are both subsidiaries of AIFS and issue dividends to AIFS. Userve is a company operating in the USA whilst CIFS operates in Canada.

Assumptions Made

We have prepared this report based on the following facts and assumptions. If any of these points are incorrect, please let us know as this may materially affect the advice given in this report:

- The trust deeds signed on 10 November 2010 are the most up to date deeds and there have been no amendments to the terms of either trusts since.

- Daniel John Hillier is named as the settlor on both trust deeds. This was a notional settlement of $10 AUD and nothing more in order to create the structure, allowing Danielle and Stuart to subsequently settle the capital into their respective trust.

- Danielle and Stuart are directors of the companies held by Ellell and GHS. Advice is being taken on the central control and management of the companies to ensure they do not become UK resident companies. This report is therefore prepared on the basis of all the companies held by the trusts are non-UK resident companies.

- Neither Danielle nor Stuart were UK resident or UK domiciled at the time of settlement into the trusts.

- Neither Danielle nor Stuart have been UK resident at any point in the last 20 UK tax years.

- No assets will be added to either trust while Danielle and Stuart are UK residents.

- All income paid to the trusts has been distributed to Danielle and Stuart prior to them becoming UK resident, meaning no ‘pre-arrival income’ is held within either trust and available to be distributed.

- This report has been prepared on the basis that Danielle and Stuart do not intend to stay in the UK for longer than the four year FIG period and further advice should be taken if this changes.

Executive Summary

Both trusts will be treated as substantive trusts for UK tax purposes.

The trusts have always been non-UK resident and will continue to be non-UK resident trusts given that a non-resident trustee company is to be appointed as sole trustee prior to Danielle and Stuart becoming UK residents.

Both trusts are settlor-interested, meaning the income and gains of Ellell will be taxed on Danielle as they arise whilst she is UK resident, and the income and gains of GHS will be taxed on Stuart as they arise whilst he is UK resident.

As Danielle and Stuart have been non-UK resident for 10 consecutive tax years, they will both be eligible to claim the 4-year foreign and income and gain regime from 2026/27 to 2029/30, inclusive. This will mean foreign income and gains realised under a relevant election will be outside the scope of UK tax, and this will extend to the foreign income and gains realised by both trusts.

Offshore income gains and capital gains realised at trust level whilst Danielle and Stuart have elected for the 4-year foreign income and gain regime will be added to the OIG or stockpiled gains pool accordingly and be available to be matched and taxed on future distributions to UK resident beneficiaries.

Capital distributions, in excess of funds realised during Danielle and Stuart's UK residence, will be matched to the OIG pool and then the stockpiled gains pool and charged to income tax or CGT, respectively. If these distributions are made during a valid 4-year foreign income and gain election then they will not be subject to UK tax, but they will not be matched to the pools, and the pools will be carried forward to match to future distributions to UK resident beneficiaries.

Both trusts are excluded property trusts on the basis that Danielle and Stuart are non-long-term UK residents. The assets are therefore outside the scope of UK IHT provided they are foreign situs and do not derive value from UK residential property, which we understand to be the case.

If the companies were to become UK resident or Danielle and Stuart were to be considered long -term resident in the UK, then this would mean they would be brought into the UK IHT scope.

Bare Trusts or Substantive Trusts

We have reviewed the trust deeds for both Ellell and GHS, dated 10 November 2010. The trustees have discretion regarding how much income is distributed to each beneficiary, and capital may also be distributed at the trustees' discretion, whilst the trustees also have the power to accumulate income and capital within the trusts.

Under English law, for a trust to be more than a bare trust or nominee arrangement, there must be a minimum core of obligations owed by the trustees to the beneficiaries and enforceable by them. This is a fundamental concept of a trust.

It is our view that the trusts will not be treated as a bare trusts, because,

- The trustees have a fiduciary duty to manage the trust property in the best interests of all classes of beneficiary, regardless of Danielle and Stuart being the principals of Ellell and GHS, respectively.

- The trustees have discretion over the distributions made to beneficiaries. Even as the settlors and primary beneficiaries, Danielle and Stuart do not have an absolute right to all the income and gains of the trust.

- In line with HMRC guidance, a bare trust is where a beneficiary has an absolute entitlement to the trust assets meaning they have the exclusive right to direct the trustee how to deal with property. In line with the trust deeds, beneficiaries other than Danielle and Stuart have interests in the trust and Danielle and Stuart therefore cannot, in their role as beneficiaries, exclusively control how the trust assets are to be dealt with.

UK Tax Treatment of the Trusts

a) Trust tax residence

Where there is only one trustee, or all trustees have the same residence status, the residence of a trust follows that of the trustee(s).

Currently, Danielle is the sole trustee of Ellell and Stuart is the sole trustee of GHS meaning both trusts are resident in Australia for UK tax purposes.

We understand both Danielle and Stuart are relocating to the UK on 11 May 2026 and as such will be UK resident for the 2026/27 tax year. There are complex split-year rules whereby individuals can split a UK tax year into both a resident and non-resident part if certain conditions are met. However, the split-year rules only apply to trusts in very specific circumstances. One of these circumstances is where an individual ceases to be a trustee during a tax year that is a split-year for them personally, and they act as trustee only during the period they are non-resident, then the trust will be treated as non-resident during that period.

We understand before Danielle and Stuart move to the UK they are resigning as trustees and appointing an Australian resident trustee company. This will mean the sole trustee continues to be non-UK resident and the trusts will therefore continue to be non-UK resident.

The rest of this report is prepared on the basis that a non-UK resident corporate trustee will be appointed prior to Danielle and Stuart becoming UK resident.

b) Income tax

As Danielle and Stuart are beneficiaries of the trusts, the trusts are settlor-interested for income tax purposes.

Given the trusts are settlor-interested, the income of the trusts will be treated as arising directly to Danielle and Stuart and taxable on them whilst they are UK resident.

Income that arose prior to Danielle and Stuart becoming UK resident will have not been subject to UK tax and could have been accumulated within the trust. We understand any income arising at trust level prior to Danielle and Stuart becoming UK residents has already been distributed in full, in line with Danielle's email on 6 May 2026. We have therefore not analysed this any further.

It should be noted that the income of the underlying companies could be attributed to the trust level due to the settlor interests and control of the underlying companies. However, we would expect the motive defence against the "Transfer of Assets Abroad" (TOAA) anti-avoidance provisions to be available to the trusts as the transfer of the companies into the trusts did not have any UK tax avoidance purposes. This prevents the income of the companies as being treated as arising directly to the trusts and will only be trust income when physically distributed.

c) Capital gains tax

As Danielle and Stuart are beneficiaries of the trusts, the trusts are settlor-interested for CGT purposes. As a result, gains realised by the trusts will be subject to UK CGT on the respective settlor as they arise, once UK resident.

The TOAA anti-avoidance provisions could also treat gains realised within the underlying companies as arising to the trusts and therefore the settlors directly. However, we would expect the motive defence under s.3 TCGA to apply to the structure as the avoidance of tax was not the purpose of creating the structure and undergoing the relevant transactions.

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This motive defence means that any gains within the underlying companies are not taxable on the settlors at this point. Instead, Danielle and Stuart would only be taxable on any gains made on the sale or liquidation of the companies. During the period where Danielle and Stuart were non-UK residents, when gains were not taxable on them directly, gains realised within the trust will have accumulated in what is known as a stockpiled gains pool.

Capital distributions made to beneficiaries are treated as distributions of the trust accumulated capital gains (known as the stockpiled gains), calculated under UK rules. The capital gains are matched to the capital distributions in the order last in, first out (LIFO), taking each year of assessment as a whole. Where capital payments exceed the total stockpiled gains, the excess is carried forward and matched to future gains. There is no double tax relief available in the UK for foreign tax paid by the trustees on gains, although the tax can be deducted in calculating the gain for UK purposes. Additionally, capital distributions to non-UK residents post-6 April 2018 are not matched to the stockpiled gains so cannot "wash them out", unless on the year of the termination of the trust.

A supplementary charge is applied when gains are matched to a capital payment if not matched in the year they arise or in the following year. This increases the CGT rate from 24% to a maximum of 38.4% after 6 years for higher rate taxpayers and from 18% to 28.8% for basic rate taxpayers.

It should be noted that capital losses realised in a trust can offset capital gains arising in the same tax year or subsequent tax years.

Whilst we understand no gains have been realised at trust level, the s.3 motive defence only came into force from 6 April 2012. As such, gains realised in the underlying companies from initial settlement to 6 April 2012 will have accumulated within the stockpiled gains pool to be matched to capital distributions made to UK resident beneficiaries.

d) *Offshore income gains*

Investments in the form of offshore funds, such as money market funds, mutual funds and exchange traded funds, are subject to the offshore fund regulations. If these offshore funds do not have HMRC "reporting fund" status, which is likely to be the case for most such investments acquired without the UK tax treatment in mind, gains realised on the funds are OIGs and are subject to the higher rates of income tax.

If the trusts have realised OIGs, they will be matched to capital distributions in priority to capital gains and charged to income tax in the hands of the UK resident beneficiary, rather than CGT. As with stockpiled gains, capital distributions to non-UK residents post-6 April 2018 will not be matched.

Any losses realised on OIGs will not reduce any gains realised on OIGs but will be available to offset any normal capital gains arising in the same year or future years.

It is our understanding that the trust does not hold any investments that could qualify as OIGs.

e) *Inheritance tax*

Since 6 April 2025, a trust's IHT status has been dependent on the long-term residence of the settlor where the settlor is still alive, as is the case for both Ellell and GHS.

Where the settlor has been UK resident for at least 10 of the previous 20 tax years, they will be considered a long-term resident ("LTR") and have their worldwide assets subject to UK IHT. This concept extends to trusts settled by them and will bring these trusts within the relevant property regime.

Where a trust is considered to be relevant property, there will be charges to UK IHT on each 10-year anniversary of the trust, and when capital is distributed from the trust, unless other reliefs apply. These charges will be at a maximum of 6%.

As neither Danielle or Stuart have been UK resident for long enough to be considered LTR's, both Ellell and GHS will be excluded property trusts. The effect of this is that assets held within the trusts are outside scope of UK IHT, provided they are not UK situs and do not derive value from UK residential property.

It is our understanding that Danielle and Stuart will not remain UK resident for long enough to become LTR's, but it should be noted that if they do the trusts will enter the relevant property regime and have all assets within scope of UK IHT. If the trusts were to subsequently leave the relevant property regime by Danielle and Stuart becoming non-LTR's, there would be a corresponding IHT charge on the exit.

f) Trust reporting requirements

Offshore trusts are required to register on the Trust Registration Service ("TRS") if they have at least one UK resident trustee.

We understand that both Danielle and Stuart are resigning as trustees, with a non-UK resident trustee company becoming sole trustee. As a result, there will be no requirement to register the trusts on the TRS.

A requirement to register the trusts on the TRS will arise, despite the trusts being non-UK resident, if any of the following apply:

- The trusts become liable for tax on UK income or UK assets
- The trusts acquire UK land and/or property
- There is at least one UK resident trustee and the trusts enter into a 'business relationship' within the UK.

If the trusts meet requirements to register, they are required to register within 90 days of the requirement.

Various details of the trust, the settlor, the beneficiaries etc need to be provided to HMRC via the trust register. Any changes to the trusts need to be supplied to HMRC within 90 days via an update to the register. Penalties for failure to provide the required information may apply.

UK Tax Treatment of Danielle and Stuart

a) *4-year FIG regime*

In the Autumn Budget 2024, the Government announced the abolition of domicile for tax purposes from 6 April 2025 and replaced it with a new residency-based regime. As a result, the previous remittance basis of taxation was replaced with the 4-year Foreign Income and Gains ("FIG") regime. This allows individuals who have been non-UK resident for 10 consecutive years, regardless of domicile status, to have their post-5 April 2025 FIGs outside the scope of UK tax for the first four tax years of residence. This extends to distributions from offshore trusts.

As Danielle and Stuart are to become UK resident in the 2026/27 tax year, after having not been UK residents for 10 consecutive tax years, they will both be able to the use the FIG regime for 2026/27 to 2029/30, inclusive.

As a result, both Danielle and Stuart will be able to utilise the rules to their advantage in relation to taking distributions of foreign income and foreign gains from the trusts and using them within the UK, without additional charges.

Payments made to beneficiaries who claim relief under the FIG regime will not match to any trust gains and OIGs which have accumulated in the structure, so it is not possible to eliminate gains and OIGs which have accumulated in the trusts to date by making distributions while the FIG regime applies, though we understand no gains or OIGs have been realised at trust level. If distributions are undisclosed, they will remain taxable under the normal regime.

A claim for the favourable treatment and disclosure of any payments received needs to be made on the respective individual's UK self-assessment tax return for the claim to be valid. It is possible to make a claim in one year and then not in the next year if this is beneficial. This will not extend the four year period if FIG is not claimed in a tax year.

Claiming the FIG regime means that Danielle and Stuart will lose their entitlement to the personal allowance and CGT exempt amount for that tax year. Where a FIG claim is made you cannot claim foreign income or capital losses in that respective tax year.

b) *Income tax*

As UK residents, Danielle and Stuart will be subject to UK income tax on their worldwide income, with credits given for tax suffered in line with double tax treaties, where applicable.

Under the terms of both trusts, the trustees have discretion to pay income and principle to Danielle and Stuart. As Danielle and Stuart are able to benefit from the trusts they respectively settled, the trusts are settlor-interested for UK tax purposes.

Typically, with a settlor-interested trust, the trust income is taxed directly on the settlor regardless of whether the income is actually distributed to them. Given this, all income arising within Ellell will be taxable on Danielle as it arises whilst all income within GHS will be taxable on Stuart as it arises.

Usually, a credit will be available for foreign tax paid on income where available through the relevant double tax treaty. However, in Australia the dividends paid by AIFS to the trusts will carry a credit for tax paid by the company which is available to offset against the tax at trust level.

As the tax is suffered at the company level in Australia, relief is not available in the UK. Danielle and Stuart will instead be subject to tax in the UK on the net dividend received by Ellell and GHS, respectively (after the franking credits). The top rate of dividend tax in the UK is 39.35%.

If an election is made for the FIG regime to apply, then the dividends received by the trusts would be outside the scope of UK income tax for Danielle and Stuart and can be distributed to them without any UK tax implications.

An election for the FIG regime will also remove any foreign income realised personally by Danielle and Stuart from the scope of UK income tax.

c) Capital gains tax

As UK residents, Danielle and Stuart will be directly assessable to UK CGT on their worldwide gains. This extends to gains realised at trust level by their respective trust due to the trusts being settlor-interested. We believe the motive defence will apply to prevent this extending to gains realised within the underlying companies.

Similarly to income, an election for the FIG regime to apply would mean foreign gains realised under a valid election would not be subject to UK CGT and can be distributed to Danielle and Stuart without UK tax implications.

Any foreign gains realised during such an election would be added to the stockpiled gains pool and be available to be matched to future capital distributions.

An election for the FIG regime will also remove any foreign gains realised personally by Danielle and Stuart from the scope of UK CGT.

d) Offshore income gains

The OIGs at trust level will not be subject to UK tax on an arising basis as long as the motive defence for TOAA applies.

Where there is no motive defence the OIGs will not be subject to UK tax to the extent that an election under the FIG regime.

An election for the FIG regime will also remove any OIGs realised personally by Danielle and Stuart from the scope of UK income tax.

e) Inheritance tax

As mentioned above, we understand neither Danielle nor Stuart have been UK resident in any of the last 10 UK tax years. As such, neither will be considered an LTR and only their UK situs assets will be subject to UK IHT.

Distributions received from the trusts which are kept in the UK will be subject to UK IHT due to being UK situs, whilst foreign situs assets will be outside of scope.

If Danielle or Stuart end up being UK resident for more than 10 of the previous 20 tax years, then there worldwide assets will be within scope of UK IHT.

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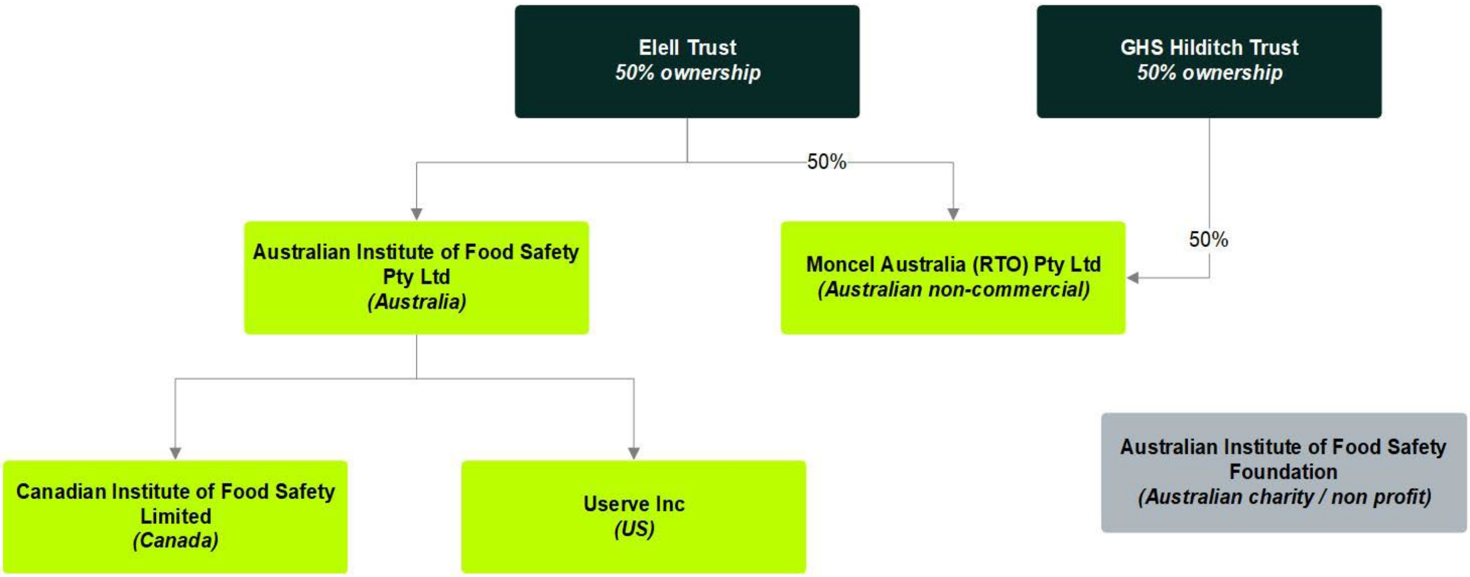
Buzzacott LLP has prepared this report for Danielle Cullen and Stuart Hilditch. It reflects the scope of work in our engagement letters of 24 April 2026 and is provided subject to the terms of that letter and our Terms of Business. This document is for the benefit of our clients, Danielle Cullen and Stuart Hilditch, only, it may not be used or relied upon by any other person, and we do not accept any liability, duty or responsibility to any other person in respect of its content or provision. This report contains our final views on the issues you have asked us to consider. It has been prepared on the basis of the circumstances applying at the date of this report. Those circumstances include, without limitation, any applicable UK law, policy, legislation, regulation, guidance, and our understanding of published practice. After that date, we are under no obligation to you to revisit or update its content in light of any change to those circumstances, nor are we obliged to inform you of such change.

Appendix 1



Elell Trust
50% ownership
GHS Hilditch Trust
50% ownership
50%
50%
Australian Institute of Food Safety Pty Ltd
(Australia)
Moncel Australia (RTO) Pty Ltd
(Australian non-commercial)
Canadian Institute of Food Safety Limited
(Canada)
Userve Inc
(US)
Australian Institute of Food Safety Foundation
(Australian charity / non profit)